

Annual Employee KRA & KPI Management Workflow

Purpose: Proposed workflow for an individual employee KRA/KPI system with annual planning, quarterly and monthly targets, date-driven reviews, and automatic carry-forward of incomplete targets.

Scope: This is a process and sheet-design document only. It does not change application code.

1. What changes from the current cycle-based workflow

The existing performance flow is based on separate performance cycles (monthly, quarterly, half-yearly, or yearly), each with its own scorecard and review phases.

The proposed process uses **one annual performance plan per employee**. Quarters and months are target-tracking and review periods within that annual plan; they are not separate scorecards.

Key principles:

- KRAs are assigned individually. Two employees can have completely different KRAs.
- Each KRA and KPI has its own start and end date.
- Each KPI has an annual target, quarterly targets, and monthly targets/checkpoints where relevant.
- KPI weights are maintained inside the KRA; KRA weights are maintained inside the employee's annual plan.
- A review is due when the relevant KPI/KRA end date is reached.
- An incomplete target is retained in history and carried into the next quarter as a tracked carry-forward amount.

2. Core structure

Annual Employee Performance Plan

■ ■ ■ ■ Employee-specific KRA 1 (KRA weight)

■ ■ ■ ■ KPI 1 (KPI weight, annual target, quarterly/monthly targets)

■ ■ ■ ■ KPI 2 (KPI weight, annual target, quarterly/monthly targets)

■ ■ ■ ■ Employee-specific KRA 2 (KRA weight)

■ ■ ■ ■ Review records (date-driven)

■ ■ ■ ■ Carry-forward records (quarter to quarter)

Validation rules:

- Total KRA weight for one employee's annual plan must equal **100%**.
- Total KPI weight inside each KRA must equal **100%**.
- The sum of original quarterly targets should reconcile with the annual target for measurable numeric KPIs.
- Monthly targets should reconcile with their quarter target where a monthly breakdown is used.
- Carry-forward must be recorded separately; it must not overwrite the original quarterly target or actual.

3. Annual workflow

Step 1 — March: Create the annual employee plan

HR and the reporting manager create one annual plan for each employee for the coming financial year. The manager assigns employee-specific KRAs, then defines KPI weights and measurable targets.

Example employee: **Jithin, Software Engineer**

KRA	Weight
Sprint Delivery	35%
Code Quality	30%
Team Collaboration	20%
Learning & Compliance	15%
Total	100%

Step 2 — March: Set targets and dates

For every KPI, set:

- KPI name, metric type, formula and data source
- KPI weight inside its KRA
- Annual target
- Q1, Q2, Q3 and Q4 original targets
- Monthly targets/checkpoints where applicable
- Start date, end date/review date, action plan and evidence requirements

The employee and manager approve the plan before 1 April. The original approved plan is locked. Any later target change requires a controlled revision with reason and approval.

Step 3 — April onward: Work and progress updates

The employee works against the annual plan and can periodically enter actuals, comments and evidence. Monthly figures are progress checkpoints, not a new scorecard or a new rating cycle.

Step 4 — Date-driven review

When an individual KPI or KRA reaches its configured end date, it moves to **Review Due**.

The employee enters actual achievement, comments and evidence. The manager verifies actuals, enters comments/rating, and approves or returns the review. This permits different KPIs to have different review schedules.

Step 5 — Quarterly review and carry-forward

At quarter end, review all KPIs whose quarter review date falls in that period.

If a target is incomplete, preserve the original target and actual for that quarter, calculate the shortfall, then add the shortfall to the following quarter's target as a carry-forward amount.

Example: Story points completed

Item	Value
Q1 original target	40
Q1 actual	34
Q1 shortfall/carry-forward	6
Q2 original target	40
Q2 revised target	46

The Q1 result remains **34 out of 40**. It is never changed to hide the shortfall. The six points are shown in Q2 as a separate carry-forward component.

Overachievement should be recorded separately. Whether it reduces a future target should be an HR policy choice, not an automatic default.

Step 6 — Year-end closure

At the end of March, all quarterly actuals and carry-forward results roll up to each annual KPI. KPI scores roll up to KRA scores, then KRA scores roll up to the employee's final annual score and rating.

KRA score = Sum of (KPI score × KPI weight within the KRA)

Final annual score = Sum of (KRA score × KRA weight)

4. Example: Jithin's annual target plan

KRA 1 — Sprint Delivery (KRA weight: 35%)

KPI	KPI Weight	Annual Target	Q1	Q2	Q3	Q4	Data Source
Story points completed	70%	160	40	40	40	40	Jira
Sprint commitment success	30%	90%	90%	90%	90%	90%	Jira

Monthly plan for Story Points in Q1: April 13, May 13, June 14. Q1 review date: 30 June.

KRA 2 — Code Quality (KRA weight: 30%)

KPI	KPI Weight	Annual Target	Q1	Q2	Q3	Q4	Data Source
Production bugs introduced	60%	Maximum 8	Maximum 2	Maximum 2	Maximum 2	Maximum 2	Bug tracker
Unit test coverage	40%	80%	75%	77%	79%	80%	SonarQu be

KRA 3 — Team Collaboration (KRA weight: 20%)

KPI	KPI Weight	Annual Target	Q1	Q2	Q3	Q4	Data Source
Peer feedback score	100%	4.2 / 5	4.0	4.1	4.2	4.2	Peer review

KRA 4 — Learning & Compliance (KRA weight: 15%)

KPI	KPI Weight	Annual Target	Q1	Q2	Q3	Q4	Data Source
Learning/certification hours	60%	40 hours	10	10	10	10	LMS
Mandatory compliance completion	40%	Yes	Yes	Maintain	Maintain	Maintain	LMS

5. Single-page user interface requirement

One page, titled **Annual Employee KRA Plan**, should show the following without navigating to separate monthly or quarterly scorecards:

1. Employee and annual plan header: employee, manager, department, financial year, plan status, plan dates.
2. KRA summary: KRA, weight, dates, annual progress and review status.
3. Expandable KPI rows under each KRA: annual target, Q1–Q4 targets/actuals, monthly targets/actuals, weights, dates and evidence.
4. Review panel: employee update, manager verification, comments, score and review status.
5. Carry-forward log: source quarter, pending amount, destination quarter, revised target, reason and approver.
6. Annual scoring summary: KPI scores, KRA scores, total score and final rating.

6. Sheet content for Excel

Sheet 1 — Annual Employee KRA Plan

FY	Employee ID	Employee	Department	Manager	Plan Start	Plan End	Status
FY 2026–27	EMP-1024	Jithin	Engineering	John	01-Apr-2026	31-Mar-2027	Approved

KRA No.	KRA	KRA Weight %	KRA Start	KRA End	KPI No.	KPI	KPI Weight %	KPI Type	Annual Target	Data Source
1	Sprint Delivery	35	01-Apr-2026	31-Mar-2027	1.1	Story points completed	70	Numeric Up	160	Jira
1	Sprint Delivery	35	01-Apr-2026	31-Mar-2027	1.2	Sprint commitment success	30	Percentage	90%	Jira
2	Code Quality	30	01-Apr-2026	31-Mar-2027	2.1	Production bugs introduced	60	Numeric Down	Maximum 8	Bug tracker
2	Code Quality	30	01-Apr-2026	31-Mar-2027	2.2	Unit test coverage	40	Percentage	80%	SonarQuibe

KRA No.	KRA	KRA Weight %	KRA Start	KRA End	KPI No.	KPI	KPI Weight %	KPI Type	Annual Target	Data Source
3	Team Collaboration	20	01-Apr-2026	31-Mar-2027	3.1	Peer feedback score	100	Rating	4.2 / 5	Peer review
4	Learning & Compliance	15	01-Apr-2026	31-Mar-2027	4.1	Learning/certification hours	60	Numeric Up	40 hours	LMS
4	Learning & Compliance	15	01-Apr-2026	31-Mar-2027	4.2	Mandatory compliance completion	40	Boolean	Yes	LMS

Sheet 2 — Quarterly and Monthly Target Plan

KPI No.	KPI	Q1 Target	Apr	May	Jun	Q1 Review Date	Q2 Target	Jul	Aug	Sep	Q2 Review Date	Q3 Target	Q4 Target
1.1	Story points completed	40	13	13	14	30-Jun-2026	40	13	13	14	30-Sep-2026	40	40
1.2	Sprint commitment success	90%	90%	90%	90%	30-Jun-2026	90%	90%	90%	90%	30-Sep-2026	90%	90%
2.1	Production bugs introduced	Maximum 2	Maximum 1	Maximum 1	Maximum 0	30-Jun-2026	Maximum 2	Maximum 1	Maximum 1	Maximum 0	30-Sep-2026	Maximum 2	Maximum 2
2.2	Unit test coverage	75%	72%	74%	75%	30-Jun-2026	77%	76%	77%	77%	30-Sep-2026	79%	80%
3.1	Peer feedback score	4.0	—	—	4.0	30-Jun-2026	4.1	—	—	4.1	30-Sep-2026	4.2	4.2

Sheet 3 — Review and Carry-forward Log

Review Date	KPI	Period	Original Target	Actual	Result	Carry-forward	Next-period Revised Target	Employee Update	Manager Review
30-Jun-2026	Story points completed	Q1	40	34	Partially achieved	6	Q2: 46	Leave and production support affected capacity	Carry-forward approved; Q2 plan revised
30-Jun-2026	Sprint commitment success	Q1	90%	92%	Achieved	0	Q2: 90%	Improved refinement process	Good performance
30-Jun-2026	Unit test coverage	Q1	75%	73%	Partially achieved	2 percentage points	Q2: 79%	Legacy module delayed coverage work	Carry-forward approved

7. Implementation direction when approved

The final system should use an annual-plan record as the parent. Employee-specific KRAs and KPIs belong to that plan; period-target, review, evidence and carry-forward records belong to each KPI. This preserves history, supports date-based reviews and keeps the full plan visible on one page.